Note 11. Income Taxes

The provision for income taxes charged to operations was as follows:

	2011	2010
Current		
Federal	$ -	$ -
State - Non-income minimum tax	-	-
	-	-
Deferred		
Federal	$ -	$ (9,095)
State	-	-
	$ -	$ (9,095)

Net deferred tax assets were comprised of the following at December 31, 2011 and 2010:

	2011	2010
Current deferred tax assets (liabilities)		
Warranty reserve	$ 2,437	$ 2,437
Related party interest	116,727	82,919
Allowance for doubtful receivables	37,002	16,166
Accrued Payroll	5,750	-
Valuation allowance	(160,589)	(100,423)
	$ 1,327	$ 1,099

	2011	2010
Long-term deferred tax assets (liabilities)		
Goodwill	$ 32,563	$ 35,523
LSA technology	1,459,548	1,428,023
Fixed assets	(18,462)	(23,631)
Investment loss	14,375	14,375
Charitable contribution	1,941	503
Net operating loss	583,725	603,374
Valuation allowance	(2,075,017)	(2,059,266)
	(1,327)	(1,099)
	$ -	$ -

At December 31, 2011 and 2010, we had federal and state net operating losses of approximately $2.0 million and $2.2 million, respectively. The federal and state net operating loss carryforwards begin to expire in 2026 and 2021, respectively.

As of December 31, 2011, we believed it was more likely than not that the deferred tax assets would not be realized due to uncertainties as to the timing and amounts of future taxable income. Accordingly, valuation allowances of approximately $2.1 million were recorded as of December 31, 2011 and 2010, respectively.

The provision for income taxes differs from the amount of income tax determined by applying the applicable U.S. statutory federal income tax rate to pre-tax income from operations as a result of the following:

	2011	2010
Federal income taxes at statutory rates	$ (105,284)	$ (85,474)
State income taxes, net of federal benefit	(9,937)	(7,993)
Nondeductible expenses	7,323	2,621
Warrant amortization	32,190	29,464
Valuation allowance	75,888	52,076
Other	(180)	211
	$ -	$ (9,095)

We file tax returns in the U.S. Federal jurisdiction, and in the state of Utah. We are no longer subject to U.S. federal tax examinations for tax years before and including December 31, 2007. During the years ended December 31, 2011 and 2010, we did not recognize interest and penalties.